

HOUSE BILL No. 1186

DIGEST OF INTRODUCED BILL

Citations Affected: IC 8-1-2-83.

Synopsis: Restrictions on the sale of public utilities. Prohibits a public utility from: (1) selling, assigning, transferring, leasing, or encumbering its franchise, business, or property; or (2) selling, assigning, or transferring any shares of its stock; to a prohibited person. Provides that the Indiana utility regulatory commission may not approve such a transaction, and that any contract for such a transaction is void. Provides that for purposes of this prohibition, a "prohibited person" means either of the following: (1) A private equity firm or an affiliate of a private equity firm. (2) A citizen of, or a company owned or controlled by or headquartered in, China, Iran, North Korea, Russia, or a country designated as a threat to critical infrastructure by the governor.

Effective: Upon passage.

Cash, Culp, Sweet

January 5, 2026, read first time and referred to Committee on Utilities, Energy and Telecommunications.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1186

A BILL FOR AN ACT to amend the Indiana Code concerning utilities.

Be it enacted by the General Assembly of the State of Indiana:

1 SECTION 1. IC 8-1-2-83, AS AMENDED BY P.L.136-2018,
2 SECTION 49, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
3 UPON PASSAGE]: Sec. 83. **(a) As used in this section, "affiliate"**
4 **has the meaning set forth in IC 23-1-43-1. The term includes a**
5 **parent company or a subsidiary.**

6 **(b) As used in this section, "prohibited person" means either of**
7 **the following:**

8 **(1) A private equity firm or an affiliate of a private equity**
9 **firm.**

10 **(2) A prohibited person (as defined in IC 1-1-16-6).**

11 ~~(a)~~ **(c)** No public utility, as defined in section 1 of this chapter, shall
12 sell, assign, transfer, lease, or encumber its franchise, works, or system
13 to any other person, partnership, limited liability company, or
14 corporation, or contract for the operation of any part of its works or
15 system by any other person, partnership, limited liability company, or
16 corporation, without the approval of the commission after hearing,
17 **subject to subsection (g).** And no such public utility, except



temporarily or in case of emergency and for a period of not exceeding thirty (30) days, shall make any special contract at rates other than those prescribed in its schedule of rates theretofore filed with the commission, and in force, with any other utility for rendering any service to or procuring any service from such other utility, without the approval of the commission. It shall be lawful, however, for any utility to make a contract for service to or from another utility at rates previously filed with and approved by the commission and in force.

~~(b)~~ **(d)** The approval of the commission of the sale, assignment, transfer, lease, or encumbrance of a franchise or any part of a franchise under this section shall not revive or validate any lapsed or invalid franchise, or enlarge or add to the powers and privileges contained in the grant of any franchise or waive any forfeiture. No such public utility shall directly or indirectly purchase, acquire, or become the owner of any of the property, stock, or bonds of any other public utility authorized to engage or engaged in the same or a similar business, or operating or purporting to operate under a franchise from the same or any other municipality or under an indeterminate permit unless authorized so to do by the commission.

~~(c)~~ **(e)** Nothing contained in this section shall prevent the holding of stock lawfully acquired before May 1, 1913, or prohibit, upon the surrender or exchange of said stock pursuant to a reorganization plan, the purchase, acquisition, taking, or holding by the owner of a proportionate amount of the stock of any new corporation organized to take over at foreclosure or other sale, the property of the corporation whose stock has been thus surrendered or exchanged.

~~(d)~~ **(f)** Every contract by any public utility for the purchase, acquisition, assignment, or transfer to it of any of the stock of any other public utility by or through any person, partnership, limited liability company, or corporation without the approval of the commission shall be void and of no effect, and no such transfer or assignment of such stock upon the books of the corporation pursuant to any such contract shall be effective for any purpose.

(g) After February 27, 2026, a public utility may not:

(1) sell, assign, transfer, lease, or encumber all or any part of the public utility's:

(A) franchise, works, or system;

(B) used and useful property, plant, or business; or

(C) real or personal estate not used and useful in the service provided by the public utility; or

(2) sell, assign, or transfer any shares of the public utility's stock;



1 to a prohibited person. The commission may not approve a
2 transaction described in this subsection, and any contract for a
3 transaction described in this subsection is void.

4 (h) Subsection (g) does not prohibit:

5 (1) the holding of a public utility's stock that is lawfully
6 acquired before February 28, 2026; or

7 (2) a transaction described in subsection (g) that is lawfully
8 consummated before February 28, 2026.

9 SECTION 2. An emergency is declared for this act.

